

The Truth about Inheritances

According to our research, most millionaires are first-generation rich. That means they worked hard, made sacrifices, and lived on a plan. While some people like to believe rich people are just born wealthy, the stats prove otherwise. We saw in the previous chapter that only 3% of millionaires received \$1 million or more from an inheritance. *Three percent!* That means if you lined up a hundred millionaires, only three of them would say they inherited a majority of their money from their family. We also saw that only 16% of millionaires inherited more than \$100,000. If that is what the research shows, then it's mathematically safe to say that at least 84% of millionaires—if not more—built their wealth on their own! That's without help from Mom, Dad, or their rich Aunt Edna. So the idea that the wealthy all inherited their money is nothing more than a cultural myth created to keep you from winning. Don't fall for it!

The typical millionaire may be self-made, but what about the really, *really* rich people? What about the billionaires hanging out in the upper echelon of society? Surely they're just living off several generations of family money, right? Wrong. The definitive list of wealth in America is the Forbes 400. This is a highly researched, well-maintained annual list of the richest people in the United States. There is a *lot* of money represented on this list. In fact, everyone on the list is a billionaire. That's *billion* with a capital B. At the top of the 2017 list is Bill Gates with a net worth of \$89 billion. At the bottom are thirteen different people tied for last place at \$2 billion each.^{[3](#)} Poor guys. You may think it takes several generations to accumulate that much wealth, which would make the Forbes 400 a Who's Who of inherited wealth. But the truth is, of all four hundred people on the 2017 list, only 7% benefited from entirely inherited fortunes with no additional effort of their own.^{[4](#)} Compare that to the number of people who came from nothing—those who were dirt poor and overcame significant obstacles—which represents 8.5% of the Forbes 400.^{[5](#)}